



Department of Energy
Richland Operations Office
P.O. Box 550
Richland, Washington 99352

17-BUD-xxXX

Board of County Commissioners
Benton County
P.O. Box 190
Prosser, Washington 99350-0190

Dear Addressees:

PAYMENT IN LIEU OF TAXES PAYMENTS (PILT) FOR BENTON COUNTY

With the successful completion of the Fiscal Year (FY) 2016 PILT process and payments of approximately \$9.5M PILT funds to the counties, the U.S. Department of Energy Richland Operations Office (RL) is prepared to update the agreement with the counties used to determine and request PILT from the DOE. The Department appreciates the initial conversations with your staff regarding the need to update the PILT process and agreement, but to date we have not been able to begin formal discussions. The Department believes it is important for our organizations that we complete this process in a timely manner.

As we have discussed with your staff, the PILT paid to Benton County has increased steadily on an annual basis for the last twenty years, resulting in concern regarding the amounts being paid at Hanford and why those amounts have increased since DOE began paying PILT in the mid 1990's. As you know, the Department, with the support of Congress, was successful in reprogramming cleanup funds to support the RL-100, Community and Regulatory Support account that enabled the payment of all PILT requested by Benton, Franklin, and Grant counties for calendar year (CY) 2016. With increasing resource needs for cleanup activities, and uncertainty regarding future appropriations for Hanford, it is our intent to update the PILT agreement such that payments to the counties remain stable from year-to-year, with the potential to negotiate a reasonable rate of escalation in future years. For Benton County, we previously discussed with your staff a level not to exceed approximately \$4M for calendar year 2017 and beyond.

Per the current process, we are expecting an invoice from you for the 2017 PILT shortly. If past practice continues, you will be requesting payment of the first half of PILT, due by mid-April. Due to the continued focus on PILT at Hanford and current appropriations process, the Department intends to revise the agreement on PILT before additional PILT payments are made to the counties.

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If you have any questions, please contact me on (509) 372-8977.

Sincerely,

Gregory A. Jones, Assistant Manager
for Business and Financial Operations
Chief Financial Officer

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